

Table 42.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –18%, M –16%, H –16%	L –21%, M –23%, H –22%
Pullback occurrence	66%	65%
Average time to pullback bottoms	–6% in 6 days	–11% in 6 days
Average time to pullback ends	12 days	12 days
Average decline for patterns with pullbacks	–16%	–21%
Average decline for patterns without pullbacks	–18%	–25%
Percentage price resumes trend	61%	50%
Performance with breakout day gap	–18%	–23%
Performance without breakout day gap	–16%	–22%
Average gap size	\$0.55	\$0.60

Once a pullback completes, the stock resumes moving down between 50% and 61% of the time.

Gaps. Gaps help performance, but the performance difference isn't substantial.

Table 42.5 shows statistics related to pattern size.

Height. Tall patterns perform better than short ones. In bull markets we see the biggest difference: 20% versus 13%. Nice! In bear markets, the trend is similar but less startling.

To determine short or tall, I measured the height of the pattern from highest peak (usually the head) to the lowest low and divided by the breakout price. If the result beat the median in the table, then the pattern was tall.

Width. Wide patterns perform slightly better. I used the median width (not the average) to determine width.